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Equity Compensation in Startup Ventures

Setting equitable and “market” level compensation for founders and early employees of startups is one of the most important elements of a new venture. It is not only central to attract and retain the best human capital for the startup, but is critical to align incentives between investors and management.

However, the optimal compensation for founders and employees of high-potential ventures is complicated. In addition to salaries and bonuses, a significant component of overall compensation comes from equity in the venture, which has a small probability of being extremely valuable, but a much larger probability of being worth very little.^a Further, several contractual features associated with the granting of equity (such as vesting and selling restrictions) make it difficult for employees to access the true value of their “paper wealth” even in circumstances when the venture is performing well. Unlike publicly-traded firms, there is no daily pricing mechanism or liquidity in the private venture’s equity, making it much more difficult to effectively value the equity component of compensation offers.

This note provides a framework to think about compensation in startup ventures and is intended for entrepreneurs thinking about starting a venture, as well as for employees looking to join a young high-potential startup. As shown in **Figure 1** below, the focus of this note is on the value of equity compensation. Although each person has a different time horizon, a different need for liquidity, and a different tax rate^b, this framework can help think about the tradeoffs involved, so that founders and early employees can make informed decisions about the total value of their compensation package.

Before discussing the details, it is helpful to remember that (other things equal) the objective from the perspective of the founder or employee is to maximize the after-tax, present value of their total compensation over the period of employment. While seemingly obvious when stated this way, this objective is useful as it serves as a reminder that one’s focus should be on:

^a For example, Hall and Woodward (2010) use two decades of data from the US to document that although the average value of equity compensation for founders was about \$6 million, this was driven by a handful of startups with several billion dollar exits. The value of the equity compensation was zero for 75% of the founders in their sample.

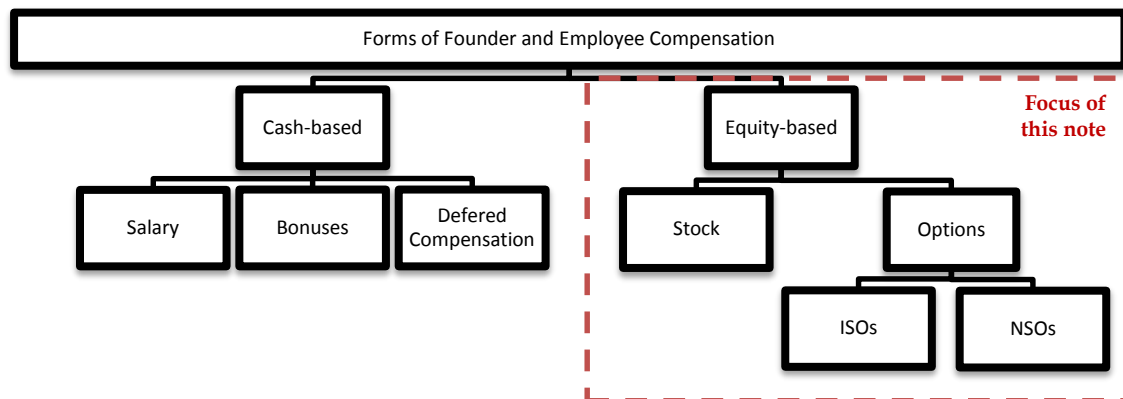
^b The focus of this note is on practices in the US, which might be quite different from those in other countries. Even in the US, it is advisable to consult a lawyer to understand one’s unique circumstances.

Professor Ramana Nanda, Senior Lecturer Robert White, and Research Associate Stephanie Puzio prepared this note as the basis for class discussion. We are extremely grateful to Mick Bain at Wilmerhale for his detailed comments on an earlier draft of this note.

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- (1) Maximizing the value of the equity rather than percentage share owned
- (2) In certain circumstances, preferring more cash compensation to equity compensation, if one's belief is that it is the path that maximizes the present value of total compensation
- (3) In certain circumstances, an option that is expected to generate a smaller payout earlier may be preferable to an option that generates a larger nominal payout after many years (i.e. the present value of the larger payout may be less)

Figure 1 Possible forms of compensation in startup ventures



Source: Casewriters.

This note is structured as follows. Section 1, outlines the differences between the direct grant of stock and the issuance of stock options, as well as differences between incentive stock options (ISO) and non-qualified stock options (NSO). Section 2, focuses on the main sets of contractual restrictions associated with the granting of equity and how these restrictions impact the actual returns that accrue to founders and employees. Finally, Section 3 provides principles that can be helpful when comparing offers or negotiating an overall compensation package.

1. Forms of Equity Compensation

1.1 Issuance of stock and 83(b) election

A natural starting point for discussing equity compensation is to discuss founder's equity. At the start of a company, the founders own 100% of the equity. At this stage, the new venture is merely an idea and the value of the equity can be justified as being close to zero. This is often a good time to incorporate the company and issue common stock to the founders. Issuing stock to the founders at this nascent stage has several advantages. Since the value of the stock at this point is close to zero, the founders only need to pay a few cents to own the entire 100% position. From a tax standpoint, there will be little to no taxes payable, since taxes are based on the fair market value (FMV) of the stock received. If the founders delay incorporating and the value of the company appreciates, then the subsequent issue of stock has real value and can trigger a significant tax liability, as the grant of stock can be deemed a perquisite that is subject to taxation. In addition, buying stock once the venture has become more valuable can be expensive and risky as the value can potentially fall substantially if the company underperforms or fails.

The stock that is issued to founders usually comes with a set of restrictions, most notably a set of vesting provisions (see Section 2 for more details). Attaching vesting terms to founder's stock is important as it helps reassure prospective investors that founders are incentivized for long term value creation. Even if founders do not anticipate taking institutional financing from venture capital or other early stage investors, stock vesting is useful in startup ventures as it ensures that a co-founder who chooses to leave after a short period of time does not do so with a substantial share of the founder's equity, which would impact the incentives of those who remain (and hence the success of the venture).^c

Vesting provisions on the stock issued to the founders creates a potential tax problem. The IRS deems stock that is subject to restriction (such as vesting) has a "substantial risk of forfeiture", so the IRS takes the position that founders do not yet own the portion of stock that is still under the vesting restriction. As the stock vests each period, the portion vesting is deemed to be granted at that point in time at the then-current market value. Thus, as the firm grows and market value increases, the founders become liable for taxes when ownership vests, calculated as the difference between the new increased value minus the price paid. This differential is considered a taxable gain, even though the gain is unrealized, and is treated as if it were ordinary income paid to the employee in wages. Consequently, the gain is subject to both income and employment withholding taxes and can be particularly onerous as taxes need to be paid immediately on "paper wealth" that at best, is illiquid, and at worst, ultimately loses all or a substantial portion of its value.

Given the prevalence of these vesting provisions, the Internal Revenue Code gives relief under Section 83(b). Founders can declare ownership of the entire stock at the time of purchase, including the unvested portion that is "subject to forfeiture," and elect to pay taxes immediately at the time the restricted stock is issued and purchased. The taxable income is equal to the difference between the FMV of the stock minus the purchase price, and since the founders typically pay FMV for their shares that difference would be zero.^d After filing the 83(b) election and paying taxes upfront (if any), subsequent vesting events will not be considered taxable events. Instead, taxes will be triggered when the stock is ultimately sold. If the stock has been held for at least a year, gains are eligible to be taxed as long-term capital gains (LTCG).

There are several advantages to this approach (1) payment of taxes only in the instance that the shares are actually sold, rather than paying taxes on "paper wealth" (2) a lower tax rate, 10-15% for LTCG vs. 30-35% for ordinary income and (3) delay of tax payments, which is valuable considering the time value of money. It is important to note that 83(b) elections must be filed within 30 days of receiving the stock.

1.2 Stock vs. Stock Options

A major question for employees in early stage ventures is whether to purchase restricted stock (that is, common stock subject to vesting restrictions) or be granted options that are subject to similar vesting restrictions. While purchasing restricted stock is unambiguously preferable when the stock has little to no value at the time of issue (as discussed above), the question of whether to buy

^c Co-founders often discuss the equity-split and document this in a Founders' Agreement, along with anticipated roles and responsibilities. (For a more detailed overview of Founders' equity splits, including IP ownership, refer to HBP 0-809-110 "A Note on the Legal and Tax Implications of Founders' Equity Splits") However, it should be noted that during subsequent rounds of financing, investors may require the founders to amend the founder's agreements and start anew if they do not agree with the terms.

^d As discussed above, the FMV of the stock at the time of incorporation is very low or close to zero, which makes it easy for the founders to pay FMV for their shares.

restricted stock or take a stock option is less clear as the stock appreciates in value (e.g. following a Series A investment).

Whereas both are likely to have vesting restrictions, an important difference lies in the cash cost to the employee at the time of issue. An employee stock option is similar to a Call Option on a publicly traded stock. It gives the employee the right, but not the obligation, to buy a single share of company stock at a specified “Strike Price” or “Exercise Price.” When exercised, the employee pays the amount of the Strike Price for each share of stock. Like a call option, the employee would only choose to exercise the option if it was “in the money” (i.e. the strike price was lower than the current market value giving them a discount on purchasing the underlying share). Importantly, since they do not have to buy the share at the time the option is granted, there is no cash outlay at the time of the grant. On the other hand, buying restricted stock typically requires paying the full value of the equity at the time of issue.

A benefit of purchasing restricted stock is that employees can file an 83(b) election and thereby benefit from LTCG holding period starting at the point of purchase, rather than starting at the time of exercising an option. A drawback is that they may pay a non-trivial amount for the stock, which may ultimately become worthless. With a stock option, however, the employee can wait to see if the stock appreciates in value before exercising the right to buy the underlying stock.

In summary, it is important to remember the key tradeoff between receiving stock and receiving options once the value of the equity has risen above zero: owning stock and filing an 83(b) election allows you to start the clock to obtain more favorable LTCG tax rates. That future potential benefit of a lower tax rate could be offset by the risk of value depreciations after making a large upfront cash outlay. In the United States, individual capital losses are capped annually at \$3,000 unless there are other offsetting capital gains. For most individuals, therefore, options are more favorable in settings where the stock has already appreciated in value, as they do not require a large upfront cash payment and give the owner the option to delay any cash outflow to purchase the underlying stock until it is clear that the venture is going to be a success.

1.3 Stock Option Pools

Given the importance of stock options for compensating employees (as discussed above), startup ventures typically create stock option pools as a way to incentivize founders and employees as the venture grows. The pool represents shares of common stock that are reserved for future issue to employees of the venture.

Employee options are granted on the reserved common stock and the exercise price for the options is set equal to FMV on the day the options are granted. For tax and other reasons, the FMV of the common stock must be determined by the Board of Directors each time it grants an option based upon an appropriate valuation model, which is often prepared by a third party appraisal firm.^e Since the common stock does not have many of the rights contained in preferred stock that is issued to investors, (e.g. liquidation preference, special voting rights, anti-dilution protections, negative covenants, etc.), the fair market value of the common stock is typically significantly lower than that of the preferred stock. As a rule of thumb, the FMV of the common is substantially lower than the preferred early in the life of the company but converges to the price of the preferred stock as the firm

^e This is true even if there is transaction data. Where there is transaction data, that data would be taken into account in making the FMV determination, but would not be sufficient for purposes of establishing the value under the tax rules.

matures and gets closer to sale or a public offering. This has the added benefit of making options on common stock more desirable for employees as the strike price can be set at a relatively low level.

From the founder and employee perspective, several aspects of option pools are noteworthy. First, the size and the timing of creating the option pool are important negotiating levers in discussions with investors. Investors typically require option pools to be created before their investment, so as to minimize future dilution to their ownership. This puts a disproportionate burden of dilution on the founders and other employees (and any other investors prior to a given round of funding). Further, if an unused portion of the option pool expires (e.g. at a sale of the company), all the shareholders “benefit” proportionally resulting from less dilution. However, the original dilution was borne by the existing shareholders at the time the option pool was created. This leads to an effective transfer of ownership from the founders (and early investors) to later stage investors. Founders should therefore attempt to create an option pool that is necessary to attract high quality talent in the near term, and postpone expansion of the pool to later rounds, so as to have all equity owners (including participants in the funding) share proportionately in the dilution resulting from the expansion of the option pool. The investors, as mentioned above, will try to ensure option pools are established prior to their investment.

Typically option plans are created and “refreshed” during each new round of funding. Wasserman (2012) finds that in his research that 46% of startup ventures create an option plan prior to the first round of funding. This percentage increases to 80% after the first round of financing and 90% after the second round.¹ The percentage ownership represented by the option plan is usually larger in the earlier stages of a company, and diluted by subsequent financing rounds. Even though the percentage of ownership represented by the option plan declines, the value of that ownership will increase if subsequent rounds of financing are done at higher valuations.

There are two types of options available in the option pool: (1) Incentive Stock Options (ISOs) and (2) Non-Qualified Stock Options (NSOs). The major difference between ISOs and NSOs is the way in which they are taxed (see **Exhibit 1** for more details). In theory, it is preferable to receive ISOs over NSOs due to preferential taxes if one sells the shares at least a year after the options have been exercised. As a practical matter however, the benefits are hardly ever realized because individuals typically exercise options of either type just before they are able to sell them (either as part of an acquisition of the company or after the IPO). Exercising an ISO and selling the shares before the applicable holding periods have passed leads them to be taxed the same way NSOs are. Moreover, there are potential taxes associated with exercising an ISO and holding onto the shares in that the value is included in AMT for the employee. That tax is real and due even if the value of the shares goes down while the person is trying to satisfy the holding period, which again makes it more likely that individuals exercise their options just before they sell them.

2. Contractual Restrictions on Stock and Options

Having described the economic differences between stock and the different types of options, we now turn to a discussion of the typical sets of contractual restrictions associated with both, as a way to align incentives between investors and management, and within management teams. There are two main sets of the restrictions: (1) Vesting provisions for stocks and options and (2) restrictions associated with selling vested stock (or options that have vested and been exercised, in effect making them vested stock).

2.1 Vesting provisions

Vesting refers to the period of time needed to pass or other milestones to be achieved in order for the “risk of forfeiture” to lapse in the case of restricted stock or for an optionee to be able to exercise his or her “right to buy” the option.

In the case of restricted stock, the recipient is the owner of the shares from the moment of purchase. However, if the recipient’s service relationship (as an employee, director, consultant, etc.) ceases, the company will have the right to repurchase any shares that are then-unvested at the original cost. This is implemented as a buyback provision in the term sheet or employment contract. In contrast, an option recipient does not own the shares when the option is granted. The option is a contract that gives the person the right to buy the shares in the future (at the exercise price set at the time the contract is entered into) if the vesting requirements are satisfied. When the recipient’s service relationship ceases, the right to exercise any portion of the option that has not vested will terminate. The recipient will typically be given a finite period of time after cessation of services to elect to exercise any vested, and not previously exercised, portion of the option. Thus, while the manner in which vesting restrictions are implemented is technically different between stock and options, the objective is identical. The buyback provision on restricted stock is merely the mechanism by which the vesting provisions of restricted stock works: if the person’s employment ceases, the company has the right to buy back the unvested shares. That mechanism for options is not needed because the recipient doesn’t own the underlying shares – their right to buy the unvested shares simply terminates when employment ceases.

As noted above, vesting is not only important as a signal to the investors that the managements’ incentives are aligned with the success of the venture, but it is also a useful tool to ensure that key employees are appropriately incentivized to continue working towards creating a valuable firm. In the case of founders who have been working on the venture for some time prior to funding, it is not uncommon for some portion of the stock to vest upon the deal closing (typically no more than 25%) with the remainder vesting over a 3-4 year period. Otherwise, vesting typically occurs over a 4 – 5 year period. There are many variations how shares vest during this period (smoothly by month or quarter) and in large chunks after passage of time (referred to as *cliff vesting*).² Even if there is no Founder’s Vesting Agreement, investors will require a reasonable vesting period as a condition of any round of financing.

Timelines for vesting are important: *How long should the vesting period be? Should options vest early or later? Should they vest equally over time or as a lump sum at the end of the contract term or upon the achievement of some performance milestone?* In most venture-backed companies, time-based vesting is preferred because well-intentioned milestones often don’t match the goals of a rapidly evolving startup over time. Time-based vesting periods typically last between 3-5 years; however many exceptions exist. Typically, investors will want the longest vesting period possible, while employees will want the shortest. However, these relative incentives can be complicated: if vesting periods are too short, the venture risks losing key people before the venture realizes its maximum value. On the other hand, if the vesting period is too long, it may be difficult hiring the most talented employees. These tradeoffs must be considered by investors and founders and the company as a whole.

Thus far, we have addressed vesting from the perspective of the firm that wishes to retain talent. Viewing the vesting issue through the lens of the employee or the founder, there are a few other considerations. The first relates to specifying what happens to one’s unvested shares in different scenarios, such as termination or sale of the venture. It is helpful to be explicit about these potential

scenarios when negotiating term sheets and employment contracts and whether vesting can be accelerated for the portion of shares not yet vested under different scenarios. (See **Exhibit 2**)

The second relates to how long an optionee can exercise *vested stock options* upon separation from the firm. Most employment contracts stipulate that the employee who leaves the firm needs to exercise their stock options within a certain period (usually 90 days) from the date of termination of employment. Since the stock in the private firm is usually still illiquid at the point of separation, the founder or employee needs to make a decision about whether it is worthwhile for them to exercise their options, since (as with the case of buying stock outlined in Section 1.2 above) they will need to finance the purchase of the underlying stock. In addition to risking the entire value of the stock purchased, this will potentially trigger a taxable event depending on the type of options. These costs and risks often tend to keep employees tied to their employers long after their shares have vested, and are a particular issue when they are unable to unlock their paper wealth through secondary transactions (see Section 2.2 below). They also come into consideration when individuals perform short-term consulting services in return for equity (say as part of a summer internship).

2.2 Selling Restrictions

The time taken for venture-backed companies to go public through an Initial Public Offering (IPO) has increased substantially in recent years³. Although the reasons for this are contested, they have a direct effect on the value of equity compensation, since there are few means to gain liquidity for private company shares. This can be frustrating for young entrepreneurs who desire some liquidity.

This has led to the rise of intermediaries who aim to facilitate the sale of these illiquid assets in private companies. However, securities laws and contractual restrictions in the employment contract often prohibit employees from selling their vested shares in this market. Reasons investors are resistant to management selling into these markets include: (1) lower incentives for the employee to stay subsequent to the sale (2) any transaction (even very small amount) could impact the market value of the common stock which may be artificially high - making compensating all other employees more expensive by setting the strike price higher and hence making one unit of stock option less valuable (3) potentially putting shares of the company (including corresponding voting, information and other rights) into the hands of competitors and hence losing a key competitive strength of private companies (the ability to choose the people to whom they have to disclose key metrics, etc.).

Nevertheless, from an employee's perspective it is useful to understand the effect that certain contractual features have on the ability to gain liquidity. **Exhibit 3** goes into more detail on these liquidity terms and HBS case 812-072, "*SecondMarket - Providing Liquidity for Shareholders of Privately Held iContact*," goes into more detail on a few secondary markets that have developed for private companies.

3. Comparing Offers

Exhibit 4, taken from Wasserman (2012) gives an overview of the average cash and equity compensation statistics of C-level and VP-level executives indexed to the VP of marketing. As mentioned above, equity compensation is a great way for startup ventures to attract top talent while preserving cash, increasing profitability and lowering asset intensity, which all benefit the future success of the venture. It is also a means that entrepreneurs and employees to share in the long term value created by their hard work and sweat equity. However, it is difficult to know if one is getting a "good deal" or being fairly compensated. Hall and Woodward (2010) estimate that since most

startups fail or just return their money to investors, the value of options for founders is zero for 75% of entrepreneurs.⁴

In publicly traded firms, employee options are valued using the widely accepted Black-Scholes Model. However, for early start-up ventures it is very difficult to accurately assess the current FMV of the stock and its volatility, two key inputs needed to run a Black-Scholes valuation. In addition, stock in private companies is illiquid, making it hard to take advantage of realized changes in value over time.

An alternative approach involves using the venture capital valuation method to project the value of the company at potential liquidity events, probability weight these scenarios and estimate the dilution to existing shareholders that is imposed by interim fundraising in each (e.g see HBS Note #288-006, *"A Method for Valuing High Risk, Long Term Investments. The 'Venture Capital Method'"*). Together, these calculations provide a sense of the ultimate percentage ownership for a given stock option grant, and hence its estimated pre-tax value. The after-tax present value of this sum will provide a basis of comparison across compensation packages. Several factors, however, lower the value of the options relative to this hypothetical value that was just calculated. First, unsurprisingly, the higher the strike price is, the less the options will be worth. Second, since the private stock is illiquid, it is less valuable. A discount of up to 20% is often used to account for illiquidity. Third, contractual restrictions such as longer vesting periods or provisions that reduce the ability to sell private shares make options less valuable. Taking all of these factors into account helps provide a more systematic and complete basis for comparing compensation offers.

Exhibit 1 Comparison of ISOs and NSOs

Options provide the recipient the right to purchase the underlying stock at a given “strike price.” To realize the value of an option, the holder must first exercise the option to purchase the underlying stock and subsequently sell the stock. The tax consequences vary based on whether the option is an ISO or NSO. For NSOs, the spread (difference between FMV on the date of exercise minus the Exercise Price) is taxed as Ordinary Income at the time the option is exercised and is subject to both federal and employment taxes. When the shares are sold, any incremental gain is taxed based on the length of time the shares are held. On the other hand, the spread of an ISO is not taxed at the time of exercise, (but could be included in the person’s alternative minimum tax (AMT) calculation if this value is high). When the shares are sold, the gain (difference between the sale price minus the Exercise Price) will be taxed as LTCG at the time of sale as long as they have been held for at least one year from the date of exercise and two years from the date of issue. If these holding periods are not met, the ISO will effectively be taxed the same as an NSO. In most cases, individuals hold the options until selling them and complete the exercise and sale on the same day so that they can use the proceeds of the sale to pay taxes and avoid negative cash flows. This is why in practice, ISOs typically have no advantage over NSOs from the perspective of the employee.

Another potential tax benefit of ISO start-up stock is that it can be classified as “*Qualified Small Business Stock*” (QSB stock). Although subject to certain limitations, in general, 50% of the gain from the sale of QSB stock that has been held for at least 5 years is exempted from taxation, which results in a slightly lower effective tax rate for the investor. Additionally, a more advantageous benefit of QSB stock is the ability to “*rollover*” the gain into new QSB stock of a new venture within 60 days. The taxable gain is deferred until the new QSB stock is sold.⁵ In part because of this benefit, private companies often issue ISOs. To qualify as an ISO, the option must be granted to an employee and must meet other strict conditions, as seen in **Table 1** below. If any of the conditions are not met, the options are treated as NSOs.⁶ In general, the tax implications of ISOs and NSOs are very complicated and highly dependent on the particular circumstances. Before deciding on a plan, the company and the management should obtain professional advice from tax experts.^f

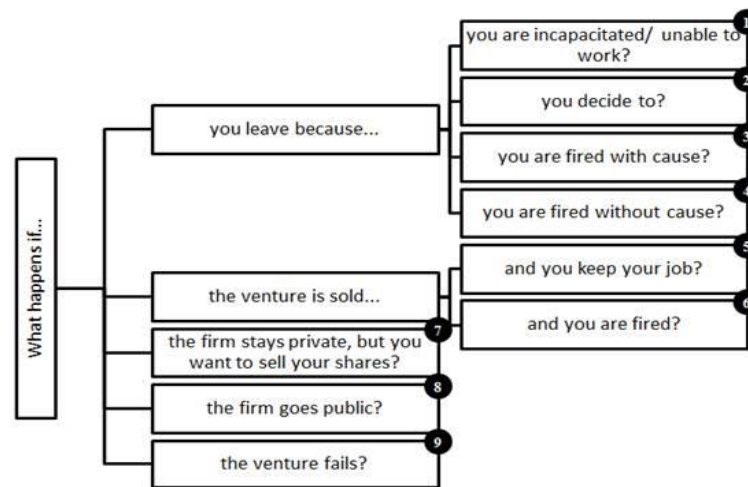
ISOs	
Eligibility	Must be granted to an employee of the company (cannot be a nonemployee Director, advisor or a consultant)
Term Length	Maximum term of 10 years (5 years if the employee owns more than 10% of the company)
Exercise Price	Exercise Price must be at least 100% of the Fair Market Value, or the result of a good faith attempt to value, on the day of granting (110% if the employee owns more than 10% of the company)
Transferability	Transfer by inheritance only
Employment Restrictions	Employee must be employed until at least 3 months before exercise
Annual Maximum	The maximum number of ISOs exercisable per year is equal to \$100,000 of the exercise price; options in excess of this are not eligible as ISOs

Source: Adapted from Henry B. Reiling, “Executive Stock Options,” Harvard Business School Publishing, Case 293-054, September 1, 2010.

^f More details can be found in Table 5.1 of Constance E. Bagley and Craig E. Dauchy, “The Entrepreneur’s Guide to Business Law, Chapter 5: Structuring the Ownership” South-Western Cengage Learning, 2011.

Exhibit 2 Vesting Scenario Analysis: what happens to your stock/options if...?

The treatment of founder and employee stock and options will vary across scenarios that depend on both the outcome of the firm and the status of the employee. The most common scenarios are detailed in **Figure 2 below**.

Figure 2 Scenarios that affect equity-based compensation

Source: Casewriters.

1. What happens if you leave because you are incapacitated/ unable to work?

In the event that you are unable to work (e.g., suffer a serious injury), you will own any vested stock and have the right to exercise your vested options. The company will repurchase any unvested stock, and any unvested options will typically lapse at this point.

Your employment contract will typically specify a 90 day period, within which you have to decide whether or not to exercise your options but it is common for the exercise period of an option to be extended beyond the normal 90 days in such circumstances. It is worth noting that since the stock is typically illiquid and may have selling restrictions at this point (see **Exhibit 4**), the decision of whether to exercise vested options is not an easy one. If you do not exercise the vested options within the specified period, you forfeit the options and underlying stock. If you do exercise them, you will need to finance the purchase of the underlying stock and hold onto it until a liquidity event. This can be challenging if the cash required to purchase the stock is substantial. It also increases the risk to your portfolio – while owning stock allows you to benefit if the firm does well, it also comes with the risk that the value can drop to zero. This cost is not borne when you hold an option, as you are not obligated to exercise your option if the value of the stock falls below the exercise price.

2. What happens if you leave because you decide to?

As with point 1 above, you will own any vested stock and have the right to exercise your vested options, typically within 90 days. The company will repurchase any unvested stock, and any unvested options will typically lapse at this point. It is worth noting that this scenario also

applies to independent consultants who work for a firm and take some of their compensation in options. It is important to be aware of this when negotiating the extent to which your compensation is in cash vs. options, as you will need to exercise your options within a short period of time following your consulting assignment with the company.

3. What happens if you leave because you are fired with “Cause”?

If your services are terminated for “Cause”, then the implications are typically the same as if you quit voluntarily. In some cases, however, you may lose the vested portion of your shares or right to exercise your option. The definition of “Cause” should be explicitly stated in your agreement with the company. Typically, “Cause” is very narrowly defined, for instance conviction of fraud.

4. What happens if you leave because you are fired without “Cause”?

If you are fired without cause (or cause cannot be legally determined), then the implications are typically the same as if you quit voluntarily. It is possible that there is “acceleration” for some portion of the unvested stock and options, whereby the company allows some of stock or options to vest before they are typically due. This will only happen if it is explicitly negotiated in the contract at the time of employment/investment.

5. What happens if the venture is sold and you keep your job?

As with the prior cases, all stock that has vested is yours and you have the right to exercise options that have vested. Sometimes, a small percentage of the vesting accelerates upon sale (e.g., 25% of the shares) – this is known as a “Single Trigger” vesting clause.

6. What happens if the venture is sold and you are fired?

The sale of the venture and your firing is considered a “Double Trigger” (as opposed to the Single Trigger mentioned above). Many term sheets include a “Double Trigger” clause that states that upon sale and termination without cause, all of your unvested stock and options vest.

7. What happens if the firm stays private, but you want to sell your shares?

Subject to compliance with the securities laws, this can be done in a privately-negotiated transaction and is subject to availability of buyers as well as terms in the employment contract that might restrict such sales. See **Exhibit 3** for details on some common terms that can restrict the ability of founders/employees to sell their private shares in secondary markets.

8. What happens if the firm goes public?

In the event the venture goes public, the vesting schedule typically proceeds on the same terms prior to the IPO. However, going public could take time and there may also be a “lock-up” period on your shares (especially for founders) when the company goes public, which restricts you from selling your shares for a certain time period post-IPO (typically 1-3 years depending on the company and your role).

9. What happens if the venture fails?

If the company fails, all the vested and unvested shares and options typically have no value as the common stock is most junior in the capital structure.

Exhibit 3 Selling Shares of Private Companies

Given that there is no public market where shares of private companies can be sold, the process of realizing liquidity can be extremely difficult, if not impossible. As noted in the text, firms such as SecondMarket and Sharespost help founders and employees realize liquidity of shares of privately held companies. Nevertheless, certain terms still make it hard for founders or employees to sell.

1. Investors have the Right of First Refusal (ROFR)

The ROFR is a contractual right, but not obligation, for investors to buy the shares at the terms negotiated with an outside third-party. In this case third-party investors will be less interested in making an offer for founder/employee shares because after doing all the work to value them, the investor can choose to buy the shares at the agreed upon price, making the third party's efforts a waste of time and money.

It may be worth changing the terms to ROFO (Right Of First Offer) which is more entrepreneur friendly. In this case the current investors have the right to make an offer to buy the employee's shares. If the employee refuses the offer, she has a limited amount of time to sell her shares at a price above the price offered by the investors. This term, however, does not preclude the entrepreneur from looking for another buyer for their shares.

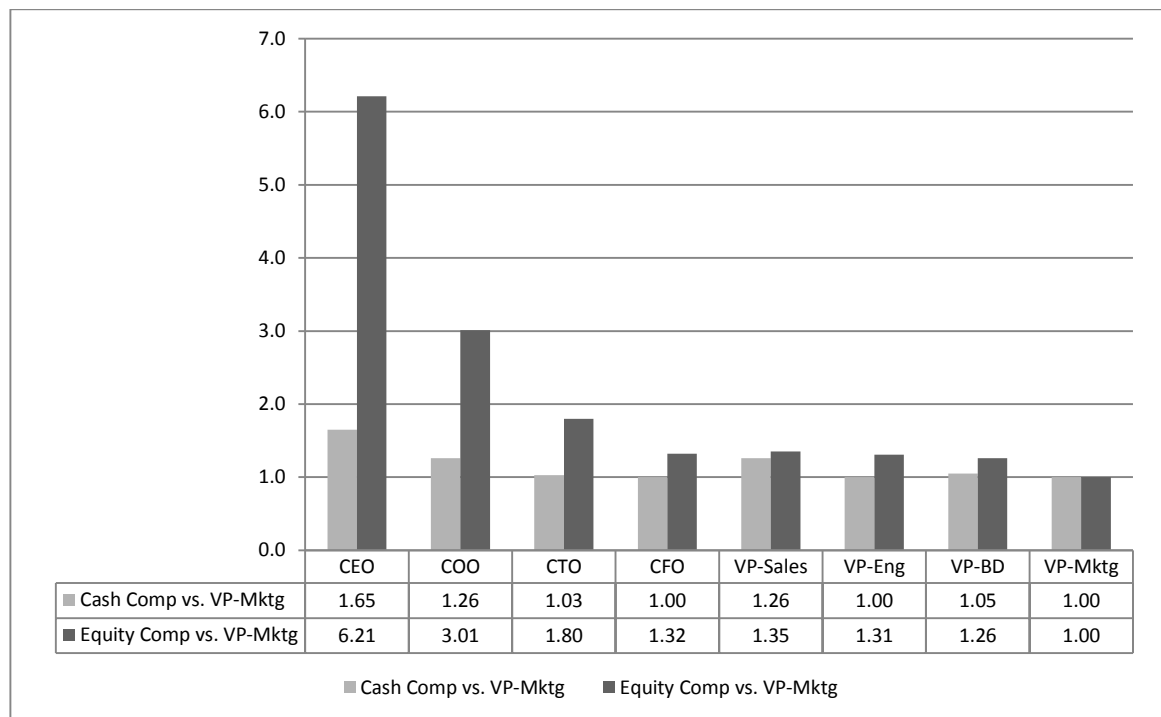
2. "Co-Sale" or "Tag-Along"

The presence of "tag-along" rights imply that if the employee arranges a third-party sale, the investors get the right to tag-along in proportion to their ownership. A "tag-along" protects the interest of minority shareholders such that they can attach themselves to the majority shareholders sale of shares to a third party. This provision prevents the employee from selling any meaningful amount of shares since investors often own a large share of the company at the time when the employee wants to exit.

Source: Casewriters.

Exhibit 4 Average Cash and Equity Compensation statistics among Top Startup Executives

Figure 3 shows how both the average cash and equity compensations differ among the top positions of non-founding executives in over 3,600 startups (primarily tech) from 2000-2009, indexed to the VP of marketing which is typically the lowest-paid and lowest-stake executive. While salaries of VPs are typically on par with C-level executives, equity stakes are quite lower. On average non-founding CEOs averaged 6.0% equity, COOs 2.9%, CTOs 1.7%, and CFOs 1.3%, vs. the four main VP positions each averaged 1.0% to 1.3%.⁷

Figure 3 Nonfounding Executives: Compensation and Equity Inequality

Source: Noam Wasserman, "The Founder's Dilemmas," Princeton University Press, 2012; Chapter 8: Hiring Dilemmas: the Right hires at the Right times.

For a more comprehensive set of equity split examples see the presentation of capitalization tables for various high tech startups that have gone public over the years published by Hervé Lebreton at <http://www.slideshare.net/lebreton/equity-in-305-high-tech-start-ups-september-2014>

Endnotes

¹ Noam Wasserman, “The Founder’s Dilemmas,” Princeton University Press, 2012; Chapter 8: Hiring Dilemmas: the Right hires at the Right times.

² Constance E. Bagley and Craig E. Dauchy, “The Entrepreneur’s Guide to Business Law,” South-Western Cengage Learning, 2008; Chapter 5: Structuring the Ownership.

³ Jay Ritter, “Initial Public Offerings: VC-backed IPO Statistics Through 2012,” University of Florida, April 20, 2014 Accessed at <http://bear.warrington.ufl.edu/ritter/IPOs2013VC-backed.pdf>.

⁴ Robert Hall and Susan Woodward, 2010, “The Burden of the Undiversifiable Risk of Entrepreneurship,” *American Economic Review*, 100(3): 1163–94.

⁵ Constance E. Bagley and Craig E. Dauchy, “The Entrepreneur’s Guide to Business Law,” South-Western Cengage Learning, 2008; Chapter 5: Structuring the Ownership.

⁶ Henry B. Reiling, “Executive Stock Options,” Harvard Business School Publishing, Case 9-293-054, September 1, 2010.

⁷ Noam Wasserman, “The Founder’s Dilemmas,” Princeton University Press, 2012; Chapter 8: Hiring Dilemmas: the Right hires at the Right times.